

MARGIN INTELLIGENCE

For Leaders Who Build at Scale

CONSTRUCTION FINANCE & PREDICTIVE CONTROL

The Bid-to-Budget Gap:
Why Your Estimates Are
Optimistic By Design

THE PROBLEM

Two Documents. Two Goals. One Big Gap.

□ THE BID (To Win)

Built to SECURE the contract. Assumptions are shaped by competition and client budget pressure—not by what is actually achievable

□ THE BUDGET (To Deliver)

Built to SURVIVE real construction. Must handle procurement delays, site conditions, subcontractor issues, and regulatory friction.

THE RESULT:

When you treat the bid as the budget, the margin gap is baked in before the first site meeting. The number that won the work is not the number that delivers it.

WHY ESTIMATES ARE TOO OPTIMISTIC

3 Forces That Distort Your Numbers

1 □ COMPETITIVE PRESSURE

Thin margins + intense rivalry = shaving assumptions. Productivity goes up. Contingency shrinks. Prelims get trimmed. Small changes, big collective impact.

2 ⚓ HISTORICAL ANCHORING

Estimators look at past projects. But 2021 had different supply chains, labour markets, and regulations. Yesterday's number may not survive today.

3 □ ORGANISATIONAL OPTIMISM

Leadership wants to win. Directors want the work. Commercial teams feel the heat. Conservative assumptions lose internal battles—even when they are right.

THE FIX

Close the Gap in 48 Hours

THE AWARD-TO-EXECUTION REVIEW

1 IDENTIFY

Pull the top 10 assumptions by value from your team

2 RATE

Score each one: How confident are we? What happens if we're wrong?

3 REGISTER

Build a live watch list. Review it weekly for the first 48 hours

4 ASSIGN

Give every high-risk assumption a named owner with a deadline

□ This takes less than one day. Contractors who do it consistently stop being surprised by what they already knew was uncertain.

BY THE NUMBERS

What the Data Shows

73%

of Tier-1 contractors say their tender model and execution budget differ materially at project award

\$14M

average hidden risk in a \$500M GCC infrastructure project—at the moment you sign the contract

48 hrs

the golden window. After this, assumptions harden into commitments and become much harder to fix

FINAL THOUGHT

**This is not a failure of your
estimating team.**

**It is a failure of the system that
treats winning and delivering as
the same job.**

Build one model to compete. Build a second
model to deliver. That is how you protect margin
from Day 1.

Until next issue,
The Editor